Khaitan Agarwal & Co.
Chartered Accountants

SANMATI PLAZA, 2nd Floor, Opp. IDBI, G.S. Road, Guwahati- 781005, ☎ +91-0361-2458663/997/998
e-mail : tibrewalajay@gmail.com, Khaitansandeep@gmail.com

AUDITORS' REPORT

We have examined the Balance Sheet of **M/s MIZORAM ISPAT INDUSTRIES** as at 31st March 2024 and the Statement of Profit & Loss of the firm as on that date. These financial statements are the responsibility of the management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of the audit. In our opinion, proper books of accounts have been kept by the concern so far, as appears from our examination of books.

In our opinion and to the best our information and according to explanations given to us, the said accounts, give a true and fair view: -

(i) In the case of the Balance Sheet, of the state of the above-named concern's affairs as at 31st March, 2024;

(ii) In the case of the Statement of Profit & Loss, of the Loss of the above-named concern as on that date.

For Khaitan Agarwal & Co.
Chartered Accountants
FRN : 326802E

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

CA Rajani Damani Jain
Partner
Membership No.: 308708

UDIN: 24308708BKDZUM8484

Date : 04-10-2024
Place : Guwahati

M/S MIZORAM ISPAT INDUSTRIES
3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

BALANCE SHEET AS AT 31ST MARCH'2024

(Amount in Rs.)

	Particulars	Sch No.	As at 31st March, 2024	As at 31st March, 2023
I.	**SOURCES OF FUNDS :**			
A.	**NET WORTH :**			
	Partners' Capital Account	2	3,65,90,697	23,56,71,852
			3,65,90,697	**23,56,71,852**
B.	**LOAN FUNDS :**			
	Secured Loan	3	2,67,41,035	3,01,88,408
	Unsecured Loan	4	22,72,83,749	6,59,36,439
			25,40,24,784	**9,61,24,847**
	TOTAL (A+B)		**29,06,15,481**	**33,17,96,699**
II.	**APPLICATION OF FUNDS :**			
A.	**PROPERTY, PLANT & EQUIPMENT :**			
	Tangible Assets	5	10,47,84,801	11,94,24,224
	Capital Work in Progress		-	-
B.	**CURRENT ASSETS, LOANS & ADVANCES :**			
	Inventories	6	10,42,87,997	14,53,08,211
	Trade Receivables	7	1,78,73,135	2,29,23,469
	Cash & Bank Balances	8	78,46,190	54,88,795
	Loans & Advanvces and Other Current Assets	9	9,82,69,604	8,56,44,750
			22,82,76,926	**25,93,65,225**
C.	LESS : CURRENT LIABILITIES & PROVISIONS	10	4,24,46,246	4,69,92,750
D.	**NET CURRENT ASSETS (B-C)**		**18,58,30,680**	**21,23,72,475**
	TOTAL (A+D)		**29,06,15,481**	**33,17,96,699**
	Schedule on Accounts & Significant Accounting Policies	**1 to 16**		

The Schedules referred to above form an integral part of the Financial Statements

As per our Report of even date annexed herewith

For Khaitan Agarwal & Co.
Chartered Accountants
FRN: 326802E

KHAITAN AGARWAL & Co.
GUWAHATI
Chartered Accountants

CA Rajani Damani Jain
Partner
M No: 308708

Date : 04/10/2024
Place : Guwahati

For and on behalf of the Firm

1 **Hemant Kumar Baid**

2 **Pawan Kumar Baid**

M/S MIZORAM ISPAT INDUSTRIES

3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED ON 31ST MARCH'2024

(Amount in Rs.)

	Particulars	Sch No.	As at 31st March, 2024	As at 31st March, 2023
I.	**Revenue from Operations**	11		
	Gross Sales		39,88,59,428	33,70,55,048
	Less : Excise Duty(Net of Refund)		-	-
	Net Sales		39,88,59,428	33,70,55,048
	Other Operating Income		-	9,65,132
II.	Other Income	12	1,44,72,213	9,29,250
III.	**Total Revenue (I + II)**		**41,33,31,641**	**33,89,49,430**
IV.	**Expenses:**			
	Cost of Materials Consumed	13	25,87,38,204	20,10,49,144
	Operating Expenses	14	13,12,11,588	11,34,14,154
	Changes in inventories of Finished Goods & Work-in-Progress	15	1,42,43,699	(31,67,058)
	Employee Benefits Expense	16	1,03,27,645	1,07,56,801
	Finance Costs	17	2,20,45,752	40,56,792
	Depreciation and Amortization Expense	5	1,71,26,523	1,91,09,314
	Other Expenses	18	72,43,127	67,12,826
	Total Expenses (IV)		**46,09,36,539**	**35,19,31,973**
V.	**Profit before exceptional & extraordinary items and tax (III-IV)**		**(4,76,04,898)**	**(1,29,82,543)**
VI.	Exceptional Items		-	-
VII.	**Profit before tax (V - VI)**		**(4,76,04,898)**	**(1,29,82,543)**
VIII.	**Tax Expense:**			
	(1) Current Tax		-	-
	(2) Earlier Year Income Tax		-	2,29,602
	(3) Deferred Tax		-	-
	(4) AMT Credit Entitlement		-	-
IX.	**Profit (Loss) for the period (VII - VIII)**		**(4,76,04,898)**	**(1,32,12,145)**
	Schedule on Accounts & Significant Accounting Policies	**1 to 16**		

The Schedules referred to above form an integral part of the Financial Statements

As per our Report of even date annexed herewith

For Khaitan Agarwal & Co.
Chartered Accountants
FRN: 326802E

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

CA Rajani Damani Jain
Partner
M No: 308708

Place : Guwahati
Date : 04/10/2024

For and on behalf of the Firm

1 Hemant Kumar Baid

2 Pawan Kumar Baid

M/S MIZORAM ISPAT INDUSTRIES
3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

DETAILS FORMING PART OF SCHEDULE 2 OF THE BALANCE SHEET AS ON 31ST MARCH, 2024

PARTNERS' CAPITAL ACCOUNT:

(Amount in Rs.)

Partners' Name	Share of Profit/ (Loss)	Opening Balance as on 01.04.2023	Additions	Withdrawals/ Share of Tax	Total	Profit/(Loss) From 01.04.23 to 31.05.23		Profit/(Loss) From 01.06.23 to 31.03.24		Closing Balance as on 31.03.2024
						Share (%)	Amount	Share (%)	Amount	
C. Lalduama	1.00%	27,76,907	-	3,90,000	23,86,907	1.00%	(79,341)	1.00%	(3,96,707)	19,10,858
Hemant Baid	16.50%	3,62,98,971	-	-	3,62,98,971	16.50%	(13,09,135)	49.50%	(1,96,37,020)	1,53,52,816
Manish Agarwal	33.00%	8,68,12,113	-	9,11,72,121	(43,60,008)	33.00%	(26,18,269)	-	-	-
Mukesh Agarwal	33.00%	7,30,84,891	-	7,36,27,879	(5,42,988)	33.00%	(26,18,269)	-	-	-
Pawan Baid	16.50%	3,66,98,971	2,59,03,682	2,23,29,475	4,02,73,178	16.50%	(13,09,135)	49.50%	(1,96,37,020)	1,93,27,023
Total		23,56,71,852	2,59,03,682	18,75,19,475	7,40,56,059		(79,34,150)		(3,96,70,748)	3,65,90,697

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M/S MIZORAM ISPAT INDUSTRIES

3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

SCHEDULES ANNEXED TO AND FORMING PART OF BALANCE SHEET AS ON 31ST MARCH, 2024

Particulars	As at 31st March, 2024 Amount(Rs.)	As at 31st March, 2023 Amount(Rs.)
SCHEDULE 2		
PARTNERS' CAPITAL ACCOUNT		
C. Lalduama	19,10,858	27,76,907
Hemant Baid	1,53,52,816	3,62,98,971
Manish Agarwal	-	8,68,12,113
Mukesh Agarwal	-	7,30,84,891
Pawan Baid	1,93,27,023	3,66,98,971
	3,65,90,697	**23,56,71,852**
SCHEDULE 3		
SECURED LOANS :		
Cash Credit from SBI, Khanapara	2,67,41,035	3,01,88,408
(Hypothecation of Stock and Trade Receivables)		
	2,67,41,035	**3,01,88,408**
SCHEDULE 4		
UNSECURED LOANS :		
From Others	22,72,83,749	6,59,36,439
	22,72,83,749	**6,59,36,439**
SCHEDULE 6		
INVENTORIES :		
(a) Raw Materials		
Stock In Hand	4,59,37,642	8,61,86,471
Goods In Transit	18,86,520	3,35,968
Total (a)	**4,78,24,162**	**8,65,22,439**
(b) Work-In-Progress		
Stock In Hand	38,22,049	52,55,419
Total (b)	**38,22,049**	**52,55,419**
(c) Finished Goods		
Stock In Hand	1,85,89,222	3,13,99,551
Total (c)	**1,85,89,222**	**3,13,99,551**
(d) Stores and Spares		
Stock In Hand	3,40,52,564	2,21,30,802
Total (d)	**3,40,52,564**	**2,21,30,802**
Total (a+b+c+d)	**10,42,87,997**	**14,53,08,211**
SCHEDULE 7		
TRADE RECEIVABLES :		
More than six months	1,78,73,135	76,82,506
Less than six months	-	1,52,40,963
	1,78,73,135	**2,29,23,469**

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

M/S MIZORAM ISPAT INDUSTRIES

3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

SCHEDULES ANNEXED TO AND FORMING PART OF BALANCE SHEET AS ON 31ST MARCH, 2024

Particulars	As at 31st March, 2024 Amount(Rs.)	As at 31st March, 2023 Amount(Rs.)
SCHEDULE 8		
CASH & BANK BALANCES :		
Cash at Hand *(As certified by the Management)*	9,61,599	4,67,767
Balances at Schedule Banks :		
SBI Bawngkawn	16,03,359	4,74,281
SBI Khanapara	5,20,291	37,546
Fixed Deposits :		
SBI Bawngkawn	47,60,940	45,09,201
	78,46,190	**54,88,795**
SCHEDULE 9		
LOANS & ADVANCES AND OTHER CURRENT ASSETS:		
(Advances recoverable in cash or kind or for value to be received)		
(Unsecured considered good except otherwise stated)		
Advances for Expenses	5,22,172	17,143
Advances for Goods	-	13,74,575
Other Advances*	1,01,39,535	-
Balances with GST Department	77,42,190	4,31,344
Budgetary Support Receivable	-	39,52,186
Income Tax Refundable	1,50,776	1,93,638
Security Deposits	76,236	76,236
Prepaid Expenses	84,235	45,168
Subsidy Receivable	2,09,92,374	2,09,92,374
AMT Credit Entitlement Receivable	5,85,62,086	5,85,62,086
	9,82,69,604	**8,56,44,750**
**Advances made to retiring partners*		
SCHEDULE 10		
CURRENT LIABILITIES & PROVISIONS :		
Sundry Creditors		
- For Raw Material & Stores	1,37,68,457	1,82,20,352
- For Expenses	2,00,34,439	1,90,15,068
Advance from Customers	15,01,703	40,67,793
Statutory Dues	20,67,817	6,15,707
Excise Duty Refund(50%)	50,73,830	50,73,830
PROVISIONS :		
Provision for Income Tax	-	-
	4,24,46,246	**4,69,92,750**

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

M/S MIZORAM ISPAT INDUSTRIES

3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

SCHEDULES ANNEXED TO AND FORMING PART OF PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2024

Particulars		As at 31st March, 2024	As at 31st March, 2023
		-	Amount(Rs.)
Schedule: 11			
Revenue from Operations			
Sales:			
Sales- M S Bars, Rods & Flats		39,62,69,063	33,56,91,008
Sales- Iron Scrap		6,54,750	13,64,040
Sales- Mill Scale		19,35,615	-
		39,88,59,428	**33,70,55,048**
Other Operating Revenue:			
Budgetary Support		-	9,65,132
		-	**9,65,132**
	Total	**39,88,59,428**	**33,80,20,180**
Schedule: 12			
Other Income			
Interest Income		2,93,102	2,40,325
Insurance Claim received		-	6,88,925
Liabilities Written Off		1,41,79,111	-
	Total	**1,44,72,213**	**9,29,250**
Schedule: 13			
Cost of Materials Consumed			
Raw Materials		24,22,02,845	17,10,57,479
Stores & Spares		1,65,35,359	2,99,91,665
	Total	**25,87,38,204**	**20,10,49,144**
Schedule: 14			
Other Operating Expenses			
Electricity Charge		10,75,49,840	9,58,69,300
Repair & Maintenance -Building		2,90,750	-
Production Charges		1,95,60,000	81,00,000
Repair& Maintenance-Plant & Machinery		13,20,354	63,71,100
Repair& Maintenance others		7,95,035	10,73,574
Insurance Charges		3,00,678	5,35,062
Truck Running & Maintenance		13,94,931	14,65,118
2,24,11,271	**Total**	**13,12,11,588**	**11,34,14,154**
Schedule: 15			
Changes in inventories of Finished Goods & Work-in-Progress			
Finished Goods			
Opening Stock		3,13,99,551	3,08,25,998
Closing Stock		1,85,89,222	3,13,99,551
		1,28,10,329	**(5,73,553)**
Work-In-Progress			
Opening Stock		52,55,419	26,61,914
Closing Stock		38,22,049	52,55,419
		14,33,370	**(25,93,505)**
	Total	**1,42,43,699**	**(31,67,058)**

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

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M/S MIZORAM ISPAT INDUSTRIES

3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

SCHEDULES ANNEXED TO AND FORMING PART OF PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2024

Particulars	As at 31st March, 2024	As at 31st March, 2023
	-	Amount(Rs.)
Schedule: 16		
Employee Benefits Expense		
Wages & Salary	96,80,510	1,00,08,689
Contribution to Provident Fund & ESIC	3,85,617	4,95,755
Employee Welfare Expense	2,61,518	2,52,357
Total	**1,03,27,645**	**1,07,56,801**
Schedule: 17		
Finance Costs		
Interest Expense	34,68,602	34,01,840
Interest on Unsecured Loan	1,83,85,900	4,84,932
Processing Charges	1,91,250	1,70,020
Total	**2,20,45,752**	**40,56,792**
Schedule: 18		
Other Expenses		
Audit Fees	70,000	70,000
Allotment Fee for Lease Hold Land Written Off	-	-
Bank Charges	3,680	2,556
BIS Expenses	-	3,46,000
Excise Demand	-	-
Water Charges	5,348	5,737
Electrical Expenses	39,933	36,379
General Expenses	8,31,805	5,600
Generator Running & Maintenance Expenses	14,55,592	15,96,187
Insurance Expenses	73,642	56,337
Interest/ Late Fees on Statutory Dues	-	34,768
Interest on Income Tax/TDS	-	11,77,071
Lease Rent	-	45,000
Legal & Professional Fee	2,15,000	1,50,500
(Profit)/ Loss on sale of Asset	-	-
Postage & Couriers Charges	150	172
Printing & Stationery	1,53,143	85,404
Rates & Taxes	2,09,415	1,18,500
Licence & Renewal	1,25,120	74,840
Rent	5,85,000	5,40,000
Software Expenses	7,200	20,549
Telephone & Internet Expenses		21,669
Travelling Expenses	9,966	3,03,567
Security Service Charges	20,000	3,49,676
Sales Promotion Expenses	37,577	-
Repair & Maintenance-Others	2,04,985	1,35,926
Testing Fee		57,500
Laboratory Expenses	22,350	-
Balance written off (Sundry Balances)		29,354
Unloading Charges	29,19,500	12,96,503
Vehicle Running & maintenance Expenses	2,53,721	1,53,031
Donation		-
Total	**72,43,127**	**67,12,826**

KHAITAN AGARWAL & CO. GUWAHATI Chartered Accountants

M/S MIZORAM ISPAT INDUSTRIES

3rd Floor, Prakash Tower, G.S. Road, Guwahati-05

SCHEDULES ANNEXED TO AND FORMING PART OF BALANCE SHEET AS ON 31ST MARCH, 2024

Schedule

Property, Plant & Equipment :

Particulars	Gross Block					Accumulated Depreciation			Net Block	
	Balance as at 1st April 2023	More Than 180 days	Less Than 180 days	Disposals/ Reversal	Balance as at 31st March 2024	Balance as at 1st April 2023	Charged during the year	Balance as at 31st March 2024	Balance as at 31st March 2024	Balance as at 31st March 2023
(a) Tangible Assets										
Block "A"-Building	49,14,458			-	49,14,458	20,78,404	1,41,803	22,20,207	26,94,251	28,36,054
Block "B"-Factory Building	8,53,20,490			-	8,53,20,490	5,77,19,774	27,60,072	6,04,79,846	2,48,40,644	2,76,00,716
Block "C"-Furniture	11,76,482			-	11,76,482	7,85,270	39,121	8,24,391	3,52,091	3,91,212
Block "D"-Plant & Machinery	26,27,77,964	20,27,119		-	26,48,05,083	17,87,67,667	1,29,05,612	19,16,73,279	7,31,31,804	8,40,10,297
Block "E"-Office Equipments	4,03,056	28,125	28,359	-	4,59,540	2,77,990	25,106	3,03,096	1,56,444	1,25,066
Block "F"-Vehicle	73,15,110			44,503	72,70,607	48,65,240	3,60,805	52,26,045	20,44,562	24,49,870
Block "G"-Computer	4,99,354			-	4,99,354	4,11,197	35,263	4,46,460	52,894	88,157
Block "H"-Chill Roll	1,30,86,114		4,48,000	-	1,35,34,114	1,11,63,261	8,58,741	1,20,22,002	15,12,112	19,22,853
Total (a)	**37,54,93,027**	**20,55,244**	**4,76,359**	**44,503**	**37,79,80,127**	**25,60,68,803**	**1,71,26,523**	**27,31,95,326**	**10,47,84,801**	**11,94,24,224**
(b) Capital Work-in Progress	-				-	-	-	-	-	-
Total (a+b)	**37,54,93,027**	**20,55,244**	**4,76,359**	**44,503**	**37,79,80,127**	**25,60,68,803**	**1,71,26,523**	**27,31,95,326**	**10,47,84,801**	**11,94,24,224**

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M/S MIZORAM ISPAT INDUSTRIES

SCHEDULE NO. 1: SIGNIFICANT ACCOUNTING POLICIES FORMING PART OF THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2024

1. ACCOUNTING CONCEPTS:

(i) The financial statements are prepared under the historical cost convention on the basis of a going concern with revenues recognized and expenses accounted on their accrual, unless otherwise specifically stated. Claims, Subsidies and/or Refunds not ascertainable with reasonable certainty are accounted for on cash basis.

(ii) Accounting Policies not specifically referred to otherwise are consistent and in accordance with generally accepted accounting principles.

2. PROPERTY, PLANT & EQUIPMENT:

(i) The physical verification of Property, Plant & Equipment is carried out in a phased manner during the year so as to cover each item within the year.

(ii) The gross Property, Plant & Equipment are valued at acquisition cost and other related expenses incurred to bring the fixed assets to their present location and condition. The gross amount of interest on loans utilized for acquisition of Property, Plant & Equipment is capitalized on the fixed assets being commissioned and put to use.

(iii) The related expense and interest on loan taken for acquisition of fixed assets and/or project which are yet to be commissioned and put to use are kept and shown under Capital Work-in-Progress.

(iv) The Capital-work-in-progress that are completed and certified to be put to use are taken into fixed assets on the day they are certified.

(v) Depreciation provided on the assets on Written Down Value Method in accordance with the rates prescribed under Income Tax Act'1961.

(vi) Grant/Subsidy in respect of capital expenditure is accounted for as per applicable Accounting Standard and depreciation on the assets acquired out of such subsidy is adjusted there against.

(vii) Expenditures incurred/capitalized in respect of projects abandoned/to be abandoned are accounted for in compliance with relevant Accounting Standard.

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

M/S MIZORAM ISPAT INDUSTRIES

(viii) Provision for impairment of asset is made in accordance with Accounting Standard-28.

3. **INVESTMENTS:**

Investments are valued at cost. Provision for diminution in the value of the long term investment is made only if such a decline is other than of temporary nature in the opinion of the management.

4. **INVENTORIES:**

Stock in Trade including goods in transit is valued at total cost or net realizable value, whichever is lower.

5. **BORROWING COST:**

Borrowing costs that are attributable to the acquisition, construction or production of qualifying assets capitalized as part of cost of such assets till such time as the asset is ready for its intended use or sale. A qualifying asset is an asset that necessarily requires a substantial period of time to get ready for intended use or sale. All other borrowing costs are recognized as an expense in the period in which they are incurred.

6. **TAXATION:**

Taxation comprises of Income Tax & Deferred Tax which are measured as the amount expected to be paid to the respective authorities in accordance with the relevant provisions of the respective laws and Acts.

Deferred Tax is measured based on the tax rates and the tax laws enacted or substantially enacted at the Balance-Sheet date. Deferred Tax assets/liabilities is recognized subject to the consideration of prudence on timing differences between taxable income and accounting income that originate in one period and are capable of reversal in one or more subsequent periods in the Profit & Loss Account and the cumulative effect thereof is reflected in the balance sheet.

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

M/S MIZORAM ISPAT INDUSTRIES

7. **REVENUE RECOGNITION:**

Sales are recognized on dispatch and are net of sales return. Other items of revenue are recognized in accordance with Accounting Standard (AS – 9).

8. **EXPENDITURE DURING CONSTRUCTION:**

In case of new projects and substantial expansion of existing factories, expenditure incurred including trial production expenses net of revenue earned and attributable interest and financing costs, prior to commencement of commercial production are capitalized.

9. **INTANGIBLE ASSET:**

Intangible asset is recognized when it is probable that the future economic benefit that are attributable to the assets will flow to the Company and the cost of the assets can be measured reliably. The depreciable amount of an intangible asset is allocated over its estimated useful life.

10. **CONTINGENT LIABILITIES AND CONTINGENT ASSETS**

A Provision is recognized for a present obligation as a result of past events if it is probable that an outflow of resources will be required to settle the obligation and in respect of which a reliable estimate can be made. Provisions are determined based on best estimates of the amount required to settle the obligation at the Balance Sheet date. A contingent liability is disclosed, unless the possibility of an outflow of resources is remote. Contingent assets are neither recognized nor disclosed in the financial statements.

11. **FOREIGN CURRENCY TRANSACTIONS:**

Foreign Currency transactions are accounted for at the rates prevailing on the dates of transactions/converted at contracted rate. Foreign currency assets and liabilities covered by forward contracts are stated at forward contract rates while those not covered are restated at year end rate. Exchange difference relating to fixed assets is accounted for in the manner as prescribed in AS- 11. Any other exchange difference is dealt with in the profit and Loss Account. Premium or discount on forward exchange contracts are amortized and recognized in the Profit and Loss Account over the period of the Contract.

KHAITAN AGARWAL & Co. GUWAHATI Chartered Accountants

M/S MIZORAM ISPAT INDUSTRIES

12. **IMPAIRMENT OF ASSETS:**

The carrying amounts of assets are reviewed at each balance sheet date if there is any indication of impairment based on internal / external factors. An impairment loss will be recognized whenever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing the value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital. After impairment, depreciation is provided on the revised carrying amount of the assets over its remaining useful life. Previously recognized impairment loss is further provided or reversed depending on charges in circumstances.

13. **SUBSIDIES & INCENTIVES:**

Subsidies & Incentives receivable by the unit under Government Schemes are being accounted when the receipt becomes certain.

14. **PRELIMINARY EXPENDITURE**

These expenses shall be written off in the year of commencement of business operation.

Khaitan Agarwal & Co. Chartered Accountants GUWAHATI